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The Sterling Balances

WE HAVE ALREADY NOTED HOW India's concern on the sterling balance led it to urge inclusion of this vexed issue in the purposes of the Fund at Bretton Woods. It failed in this attempt but managed to get an assurance from Keynes that the matter would be resolved bilaterally with the UK promising to settle 'honourably what was honourably and generously given'. In this Chapter, we will examine the background and the negotiations involved in settling this important issue which agitated the minds of Indians during the war years and after. Even though Keynes ultimately agreed to honour UK's commitments in regard to the balance at Bretton Woods, his thinking as reflected in an article written for *The Economist* in 1944 hinted at fresh negotiations of the War Financial Settlement of 1940 which Purshotamdas and others felt amounted to a repudiation of England's debt to India.

ACCUMULATION OF STERLING

As a dependency, India was called upon to make a substantial contribution to the war effort of the UK and her Allies. The Recoverable War Expenditure began to rise sharply from 1941–42 when it was ₹194 crores to a peak of ₹411 crores in 1944–45. The total for the period 1940–46 was ₹1,736 crores.[1] This reimbursable part of the war expenditure was received in the form of sterling which could not be spent for the time being on buying goods in the UK or elsewhere. While the Government of India received an asset in the form of sterling not immediately usable, they had to